WEEK 4 · LECTURE L1 · UNIT I

Anatomy of a Modern Performance Management System

The purposes of appraisal and why they collide, the performance management cycle, rating formats, rating errors and rater training.

R K Singh · Senior Professor, Department of Commerce · Delhi School of Economics, University of Delhi

DSEH004 · Performance Management and Employee Engagement · M.Com. PGCF 2025 · Exam preparation edition

AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Explain the competing purposes of appraisal and why they conflict.
- Describe performance management as a cycle rather than an event.
- Evaluate rating formats and the common rating errors.
- Assess what rater training can and cannot fix.

COURSE OUTCOMES

CLO 1 (design contemporary performance management systems).

COMMIT BEFORE THEORY

Which comes first in designing a system: the rating scale, or the purpose the rating will serve?

Write one line. The answer decides almost everything else.

PURPOSES IN CONFLICT

What is an appraisal for?

MANY USES · CLEVELAND, MURPHY AND WILLIAMS (1989)

One appraisal is used to decide pay and promotion, to develop people, to maintain systems and to document decisions.

SPLIT ROLES · MEYER, KAY AND FRENCH (1965)

At General Electric, criticism in appraisal interviews brought defensiveness and lower later performance.

KEY POINT

One conversation cannot both judge a person for pay and invite that person to admit weakness.

THE PROCESS · AGUINIS (2013)

Performance management is a cycle, not an event

PREREQUISITES

Strategy and job analysis: what the firm needs and what each role is for

›

PLANNING

Results, behaviors and development plans agreed at the start

›

EXECUTION

Ongoing performance, feedback and self and manager assessment

›

REVIEW AND RENEWAL

The review discussion, then revising the plan and the system

RATING FORMATS

Seventy years of format research

Format	Idea	Limitation
Graphic rating scale	Rate traits on a numbered scale	Vague anchors; halo
Behaviorally anchored scale	Anchor each level with a described behavior	Costly to build; job specific
Behavioral observation scale	Rate how often behaviors were seen	Depends on actual observation

EXAM LENS

Landy and Farr (1980) called for a moratorium on format research: the format mattered far less than the rater.

Smith and Kendall (1963); Landy and Farr (1980)

RATING ERRORS

What distorts a rating

Error	What happens	Signal in the data
Recency	Recent events dominate the period	Final quarter ratings run above earlier ones
Leniency	Ratings cluster high	Few low ratings despite high turnover
Halo	One trait colors all others	Uniform scores across dimensions
Central tendency	Everyone is rated average	Too little spread to act on

THEORY IN DEPTH · WOEHR AND HUFFCUTT (1994)

What rater training can do

THE CORE IDEA

Rater training improves rating quality, and frame of reference training improves accuracy most.

HOW IT WORKS

Raters learn a shared theory of what each level of performance looks like, practice, and get feedback.

LIMITS AND CRITIQUE

Training addresses the ability to rate, not the motivation to rate honestly.

IN PRACTICE

A bank trains branch heads with sample cases until they agree on what a "meets expectations" looks like.

EXAM LENS

Use it to support calibration. Add Murphy and Cleveland: accurate raters may still distort on purpose.

THEORY IN DEPTH · MEYER, KAY AND FRENCH (1965)

Split the roles of judge and coach

THE CORE IDEA

Combining salary decisions and development in one interview undermines development.

HOW IT WORKS

Criticism triggered defensiveness; goals set together worked better than criticism.

LIMITS AND CRITIQUE

One firm, decades ago; modern continuous systems change the context.

IN PRACTICE

A firm holds pay review in March and a separate development conversation in September.

EXAM LENS

A classic for any question on appraisal purpose. Strong answers link it to Cleveland et al. on multiple uses.

COMPARE AND EVALUATE

Year end ratings that run high: three explanations

Theory	Cause	Fix
Measurement	Memory decays across a year	More frequent records and check ins
Motivated rater	Year end ratings feed pay	Separate development from pay
Relationship	Managers see people rarely	Raise the frequency of one to ones

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"A single appraisal cannot serve both evaluation and development." Critically evaluate with evidence. **20 marks**

A strong answer: uses Cleveland et al. and Meyer et al.; explains defensiveness; proposes a design that separates roles; notes costs.

Design a rating approach for an Indian bank that reduces rating error. Justify each choice. **20 marks**

A strong answer: chooses a format; addresses recency, leniency and halo; uses frame of reference training; adds calibration and limits.

Explain halo error and central tendency with examples. **10 marks**

A strong answer: precise definitions; one example each; one remedy each.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Decide the purpose before the scale
2. The rater matters more than the format
3. Training fixes ability to rate, not motivation to rate honestly

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50. Reread through the design lens.

Locke, E. A., & Latham, G. P. (2002). Building a practically useful theory of goal setting and task motivation: A 35 year odyssey. *American Psychologist, 57*(9), 705–717.

Doerr, J. (2018). *Measure what matters: How Google, Bono, and the Gates Foundation rock the world with OKRs*. Portfolio. Chapters 1 to 3.

HOW TO USE THESE

These are the Week 4 set readings. Read Buckingham and Goodall (2015) again, this time as a designer.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Aguinis, H. (2013). *Performance management* (3rd ed.). Pearson.

Cleveland, J. N., Murphy, K. R., & Williams, R. E. (1989). Multiple uses of performance appraisal: Prevalence and correlates. *Journal of Applied Psychology, 74*(1), 130–135. https://doi.org/10.1037/0021-9010.74.1.130

Landy, F. J., & Farr, J. L. (1980). Performance rating. *Psychological Bulletin, 87*(1), 72–107. https://doi.org/10.1037/0033-2909.87.1.72

Meyer, H. H., Kay, E., & French, J. R. P. (1965). Split roles in performance appraisal. *Harvard Business Review, 43*(1).

Sources for this lecture (2 of 2)

Murphy, K. R., & Cleveland, J. N. (1995). *Understanding performance appraisal: Social, organizational, and goal based perspectives*. Sage.

Smith, P. C., & Kendall, L. M. (1963). Retranslation of expectations: An approach to the construction of unambiguous anchors for rating scales. *Journal of Applied Psychology, 47*(2), 149–155. https://doi.org/10.1037/h0047060

Woehr, D. J., & Huffcutt, A. I. (1994). Rater training for performance appraisal: A quantitative review. *Journal of Occupational and Organizational Psychology, 67*(3), 189–205. https://doi.org/10.1111/j.2044-8325.1994.tb00562.x